politics have in recent years become more important in the mix of wealth and power in China's grand strategy.

As China's rivalry with the United States intensifies, Washington wants closer ties with India. Due to the widening power gap vis-à-vis China, India is also increasingly interested in working with the Americans. In fact, the more long-term effect of India's 1998 nuclear tests was a growing understanding in Washington of Indian foreign policy and strategic importance, and this shift in US policy was welcomed in New Delhi.[95] In an effort to prevent India joining the US encirclement of China, like India had joined the Soviet Union in its encirclement of China during the Cold War, Beijing from 2001 onwards set in motion a "friendship diplomacy" towards India. Nevertheless, this was not enough to dissuade New Delhi from entering into deeper ties with the United States and the signing of a nuclear deal between India and the United States in July 2005.[96] Since then, the United States and India have further developed their relationship.

China is increasingly powerful vis-à-vis India, but as the China–US strategic theatre is expanding to include the larger Indo-Pacific region, India's position is increasingly important for both China and the United States. Moreover, India is also growing, albeit not as fast as China. In terms of purchasing power parity, India's economy is now the world's third largest, India has the world's fourth largest defence budget, and Indian nuclear forces are assuming added importance in Beijing's strategic thinking.[97] Furthermore, since the early 2000s, India has enhanced its position vis-à-vis other nations in South Asia. In other words, it is in China's interest to prevent an US–India alliance from forming, either through the pursuit of selective accommodation or confrontation towards India.

## *China's evolving geostrategy*